Appearance. The triangular-shaped appearance makes the descending triangle pattern easy to identify. Look for two trendlines: The bottom one is horizontal, or nearly so, and the top one slopes downward. The two trendlines should eventually join at the triangle's apex, but price usually breaks out before reaching it.

Trendlines. The price trend is bounded by two trendlines: a down-sloping one along the peaks and a horizontal (or nearly so) one along the valleys. Price must touch the trendlines at least five times, the top one at minor highs and the bottom one at minor lows. If price slices through a trendline at the start or end of the pattern, it does not count as a touch.

The March triangle, for example, has only two trendline touches along the bottom and three along the top.

Support and resistance appear along the two trendlines. Throwbacks to the top of the triangle usually stop at the sloping trendline, whereas pullbacks to the bottom halt at the horizontal trendline. After a downward breakout, price often follows the sloping trendline lower.

Table 65.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Price bounds a triangular-shaped pattern by two converging trendlines. The bottom one is horizontal, and the top one slopes downward so that they converge.
Trendlines	A horizontal (or nearly so) base acts to support price. A down-sloping price trend along the peaks forms overhead resistance. The trendlines converge at the apex. Price should touch the two trendlines at least five times at minor highs or lows (three touches of one trendline and two of the other).
Crossing pattern	Price should cross the triangle several times, covering the whitespace with price movement.
Breakout direction	A breakout occurs when price closes outside the trendline boundary, either upward or downward.
Volume	Volume recedes and tends to drop off just before the breakout.